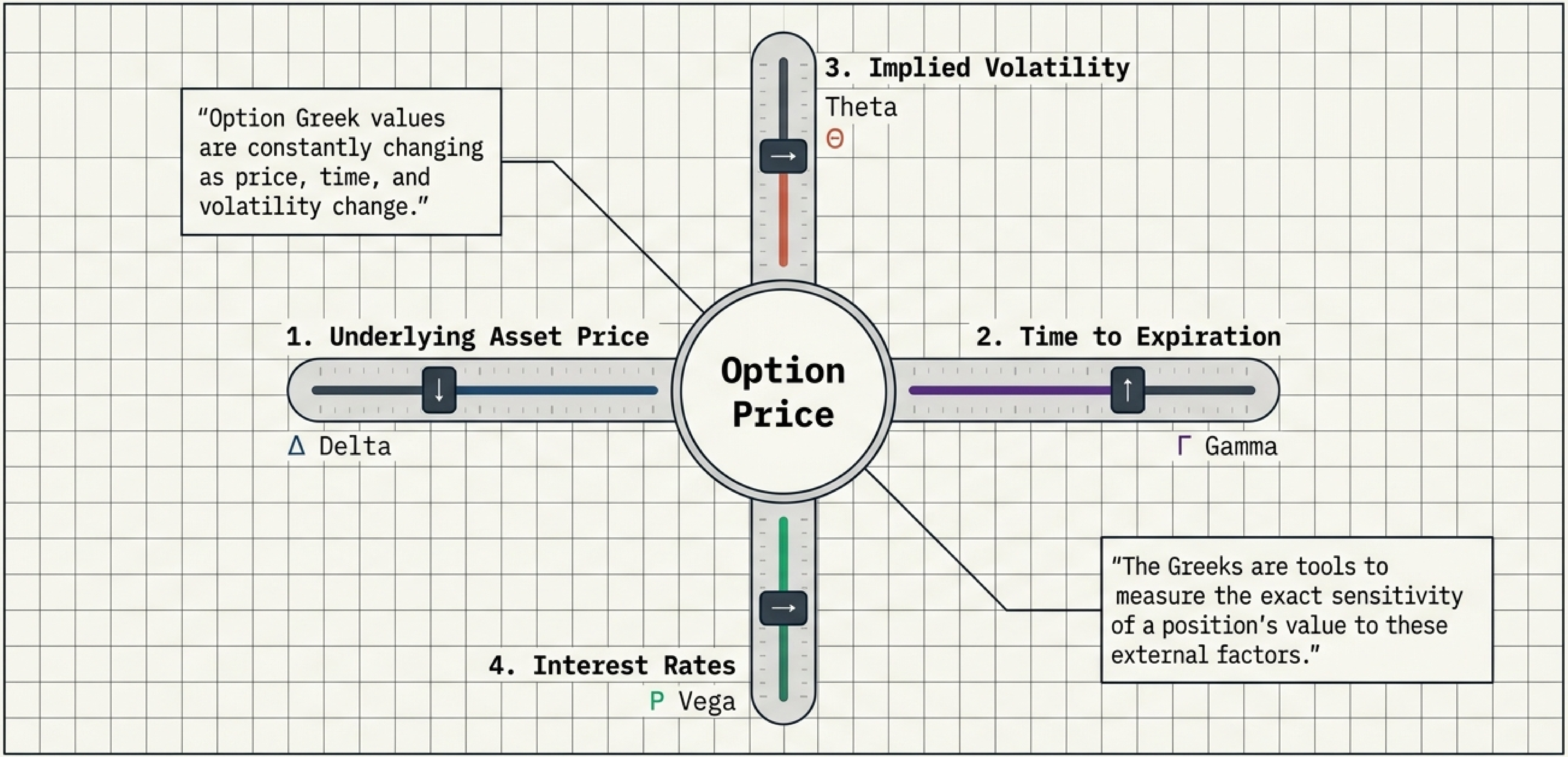
Decoding the Greeks

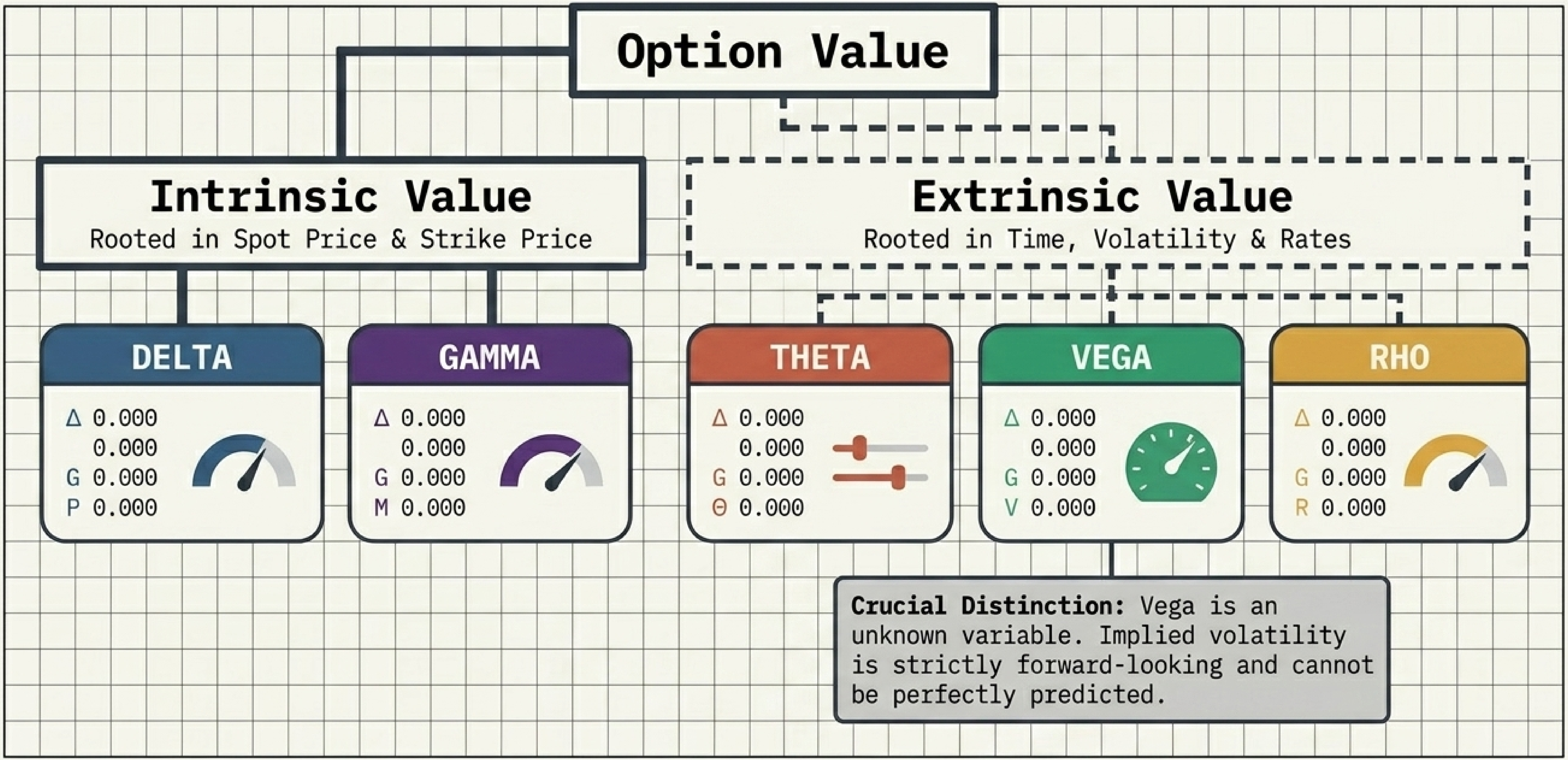
The Forces Driving Options Pricing

Understanding how price, time, and volatility impact your portfolio.

Sensitivity Metrics for External Variables

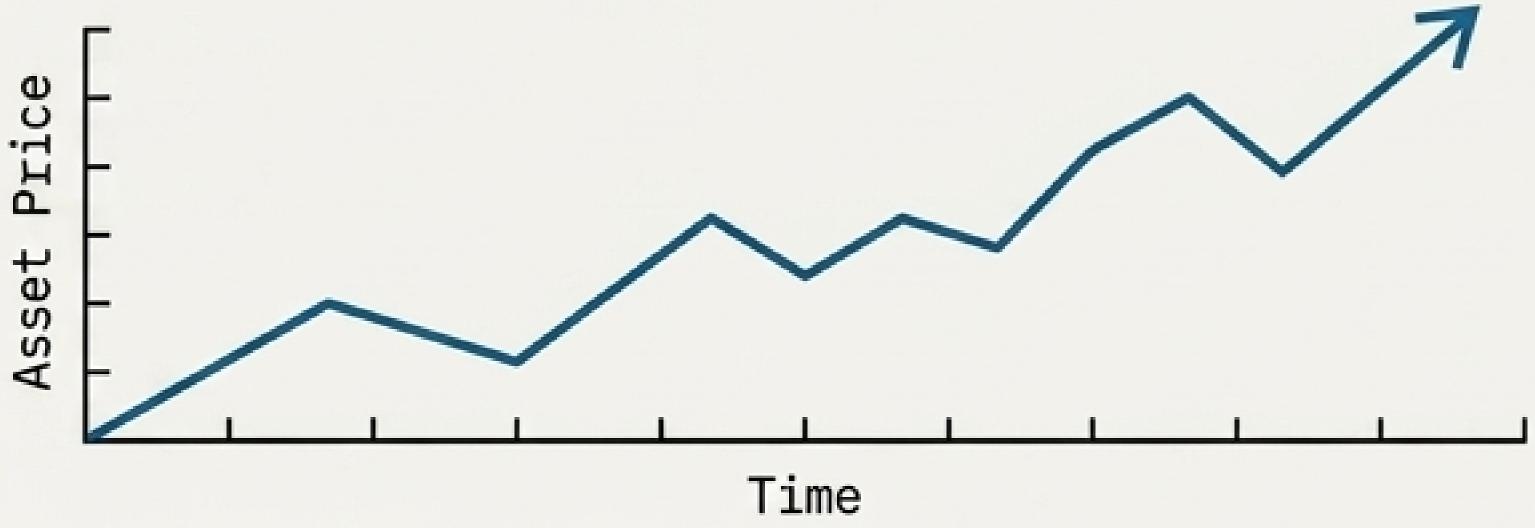


The Anatomy of Option Value



DELTA

THE DRIVER



Measures sensitivity to Underlying Asset Price.

THE UNIT

$1 Move

For every $1 change in the underlying asset, the option's price changes by the Delta value.

THE ANALOGY

The Speedometer (Direction).
Shows the rate of change in option value.

THE CORE RULES

- **Call Options:** Positive delta (<0 to 1>)
- **Put Options:** Negative delta (<0 to -1>)
- **Share Equivalent:** A <0.30> delta = owning ~<30> shares.
- **Probability:** A <0.50 delta has a ~<50%> chance of expiring in-the-money.

GAMMA

THE DRIVER

Δ

Measures the rate of change in Delta.

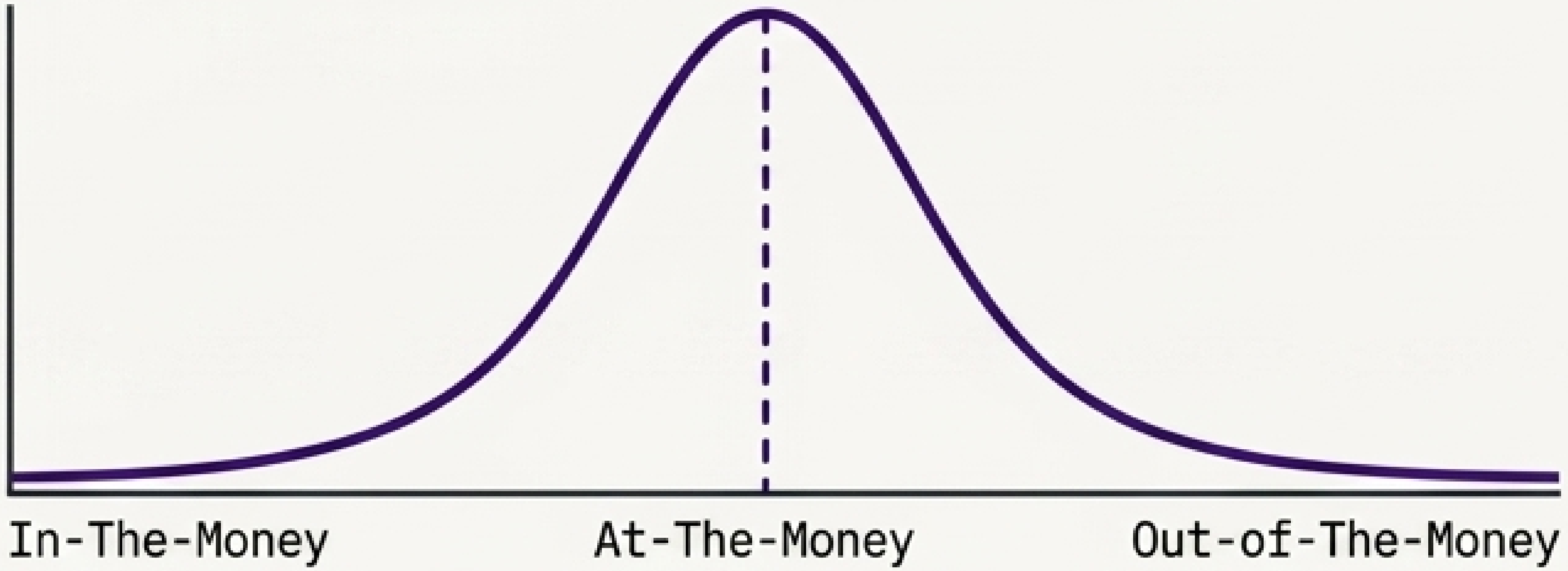
THE UNIT

$1 Move in Underlying

THE ANALOGY

The Accelerator
(The Next Dollar Move)

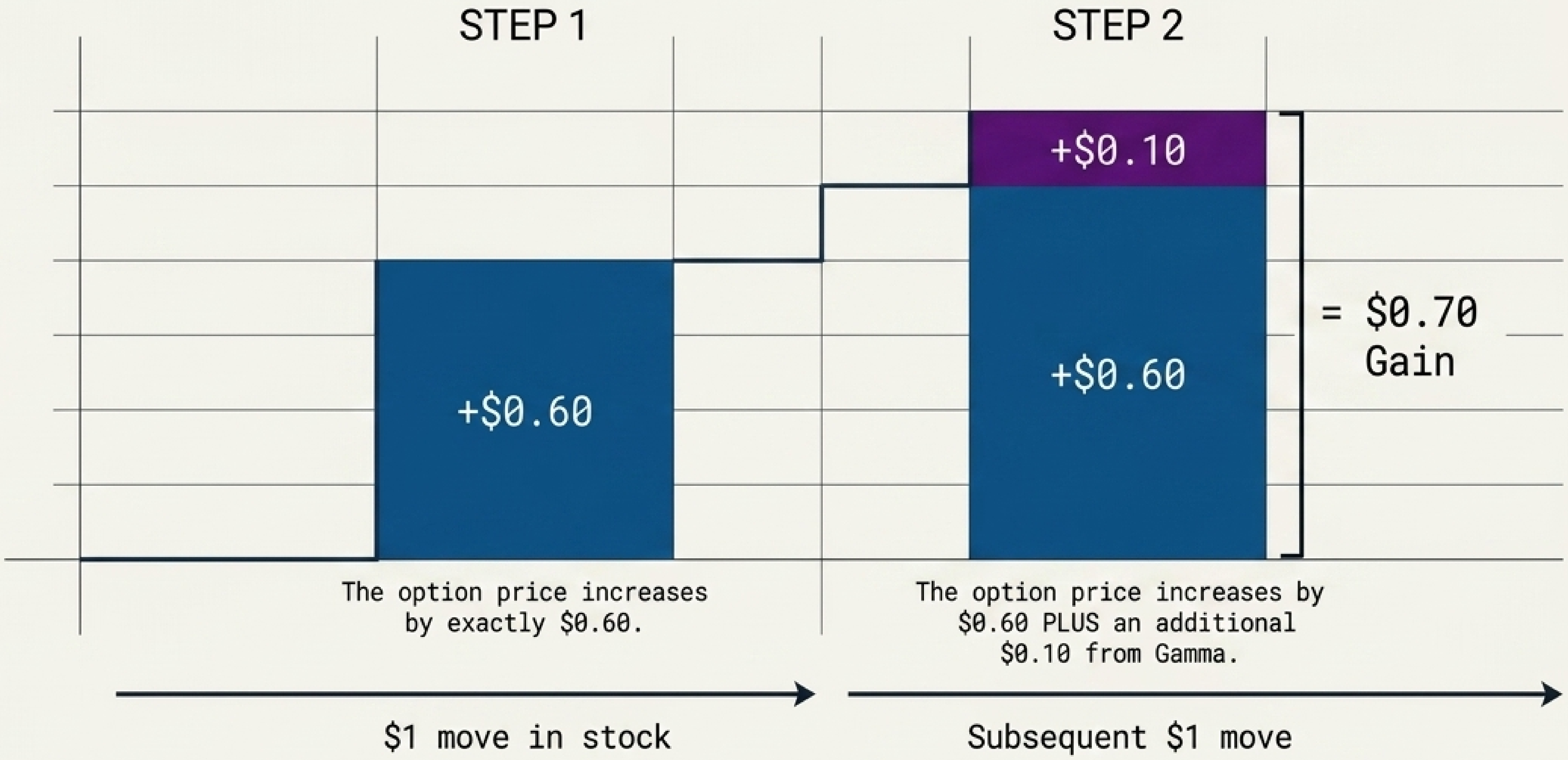
THE CORE RULES



Gamma is highest for contracts closer to at-the-money, and steadily declines as an option moves further in-the-money or out-of-the-money.

THE NEXT DOLLAR VISUALIZATION

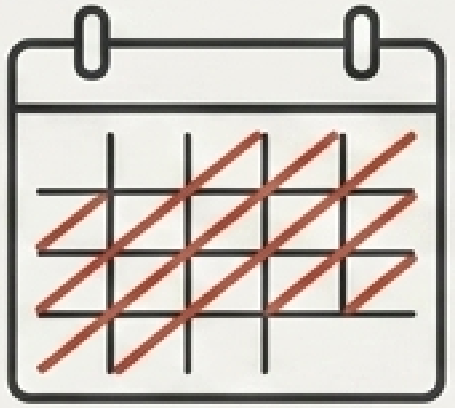
Option Delta is 0.60. Option Gamma is 0.10.



Gamma represents acceleration. It dictates how much faster your Delta will grow for every subsequent dollar the stock moves.

THETA

THE DRIVER



Measures the effect of Time Decay.

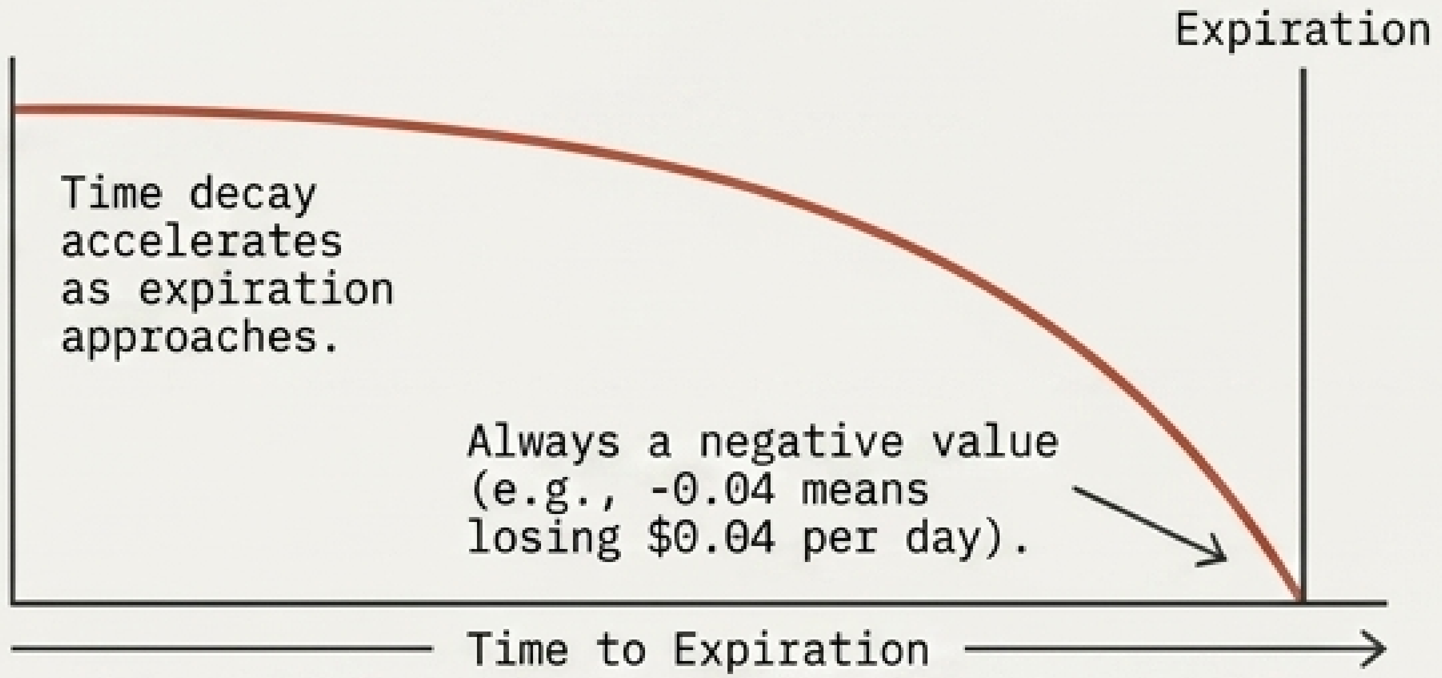
THE UNIT

1 Day

THE ANALOGY

The Hourglass (Decay)

THE CORE RULES



An advantage for the seller; a disadvantage for the buyer.

VEGA

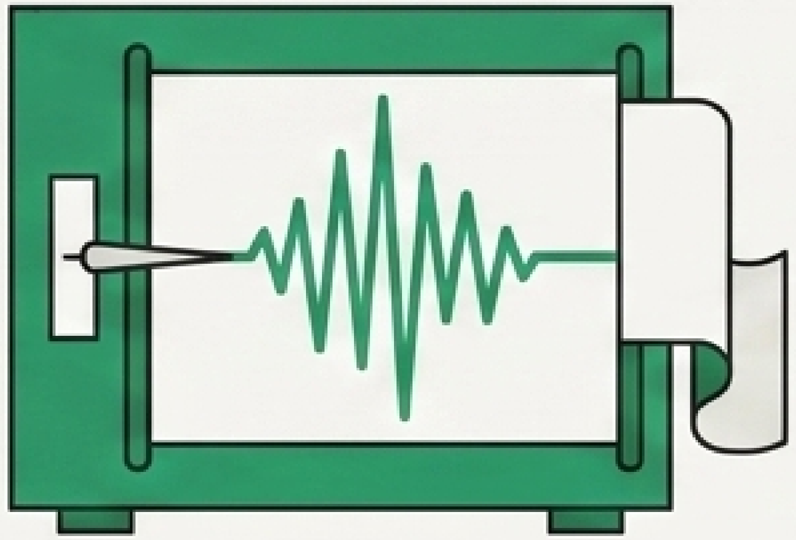
THE DRIVER

Measures sensitivity to Implied Volatility.

THE UNIT

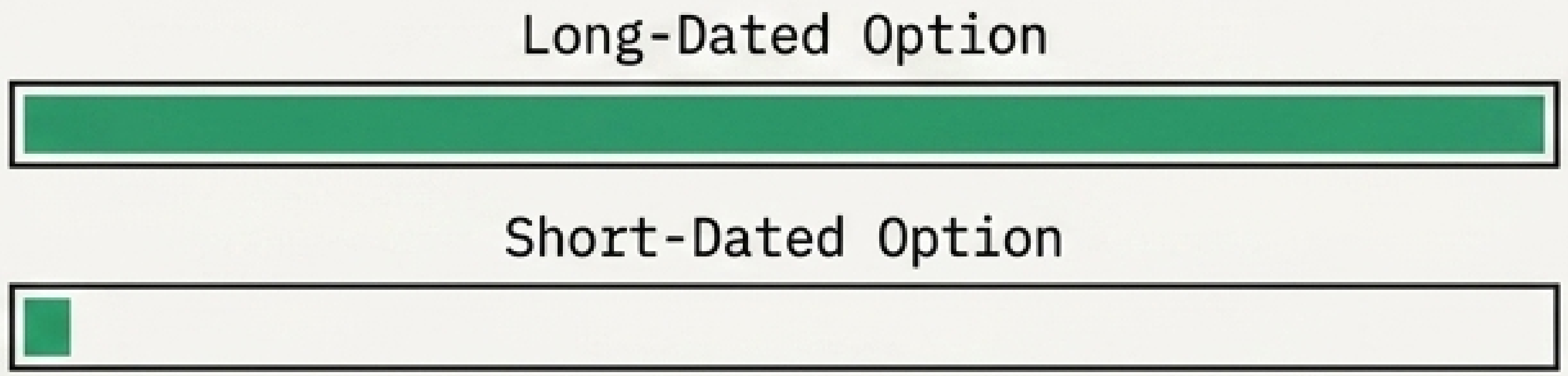
1% Change

THE ANALOGY



The Seismograph (Anticipation)

THE CORE RULES



- Declines as expiration approaches because there is less time for volatility to impact value.
- Does not impact intrinsic value.

RHO

THE DRIVER

Measures sensitivity to Interest Rates

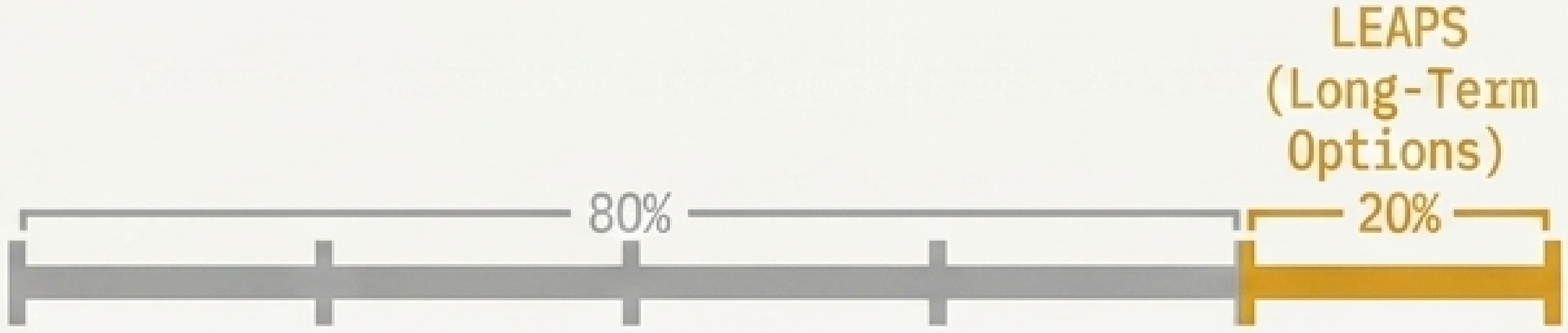
THE UNIT

1% Change

THE ANALOGY

The Macro Dial (Long-Term Impact)

THE CORE RULES



Not critical for short-term traders (rates adjust rarely).

Highly impactful for long-term options (LEAPS) due to long expiration periods and future uncertainty.

ALIGNING GREEKS TO TRADING STRATEGIES

DIRECTIONAL PROFITS

Focus on **Delta** & **Gamma**

Delta measures reaction to price changes, while Gamma dictates how quickly your Delta will scale during big moves.

TIME DECAY PROFITS

Focus on **Theta**

Track how rapidly time decay eats away at an option's extrinsic value, creating advantages for premium sellers.

VOLATILITY TRADING

Focus on **Vega**

Capitalize on market anticipation by tracking how value increases or decreases as implied volatility shifts.

The Greek Diagnostic Matrix

Greek	Variable Measured	Unit of Change	Value Type Impacted	Core Analogy
Delta	Spot Price	$1 Move	Intrinsic	The Speedometer
Gamma	Delta	$1 Move	Intrinsic	The Accelerator
Theta	Time	1 Day	Extrinsic	The Hourglass
Vega	Implied Volatility	1% Change	Extrinsic	The Seismograph
Rho	Interest Rates	1% Change	Extrinsic	The Macro Dial

Take the Guesswork Out of Options Trading

- Find Opportunities.
- Backtest Ideas.
- Automate Strategies.

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